

|                |                  |                  |                      |
|----------------|------------------|------------------|----------------------|
| Contract Type: | Rental Agreement | Overall Risk:    | MEDIUM RISK (33/100) |
| Total Clauses: | 23               | Issues Flagged:  | 1                    |
| Page Count:    | 4 pages          | Processing Time: | 132 ms               |
| Reading Time:  | 7 mins           | AI Confidence:   | 59%                  |

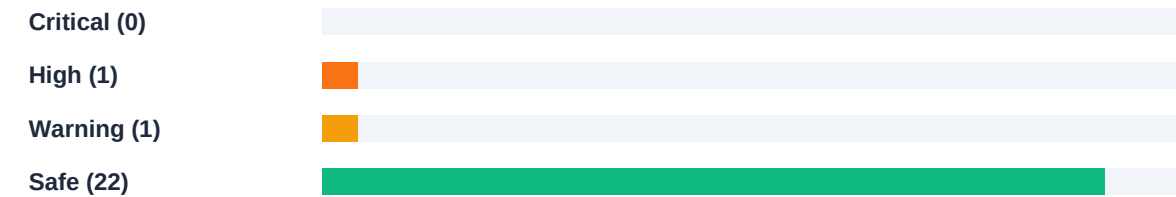
## Executive Summary

Of the 23 total clauses analyzed in this agreement, we identified: **22 Safe clauses**, **1 Warnings**, **0 High Risk clauses**, and **0 Critical issues**. There are also **7 Missing Protections**.

## Final Recommendation

**SIGN AFTER NEGOTIATION**: Sign After Negotiation. The contract contains standard terms but has moderate risk areas that should be adjusted.

## Risk Distribution



## Top Identified Risks

1. **Payment Terms (WARNING)**: High late payment penalty or daily interest/double rent charges.
2. **Governing Law Clause (WARNING)**: The agreement is missing a Governing Law clause. Without specifying the applicable state and local laws, any dispute will face legal ambiguity regarding which tenancy and rent control statutes apply, causing delays and unpredictable judicial rulings.
3. **Force Majeure Clause (WARNING)**: No Force Majeure protection is present. If a lockdown, natural disaster, fire, or government restriction prevents you from occupying or operating from the premises, you remain legally obligated to pay 100% of the rent and late fees.
4. **Dispute Resolution Clause (WARNING)**: There is no structured dispute resolution path. If a conflict arises over maintenance, deposit, or rent, either party can immediately drag the other into a lengthy, expensive court battle without trying mediation first.
5. **Renewal & Escalation Cap (WARNING)**: There is no renewal escalation cap. At the end of the tenancy term, the landlord has complete leverage to demand an exorbitant rent hike (e.g. 30%) or force a sudden, expensive eviction.

## Summary of Flagged Issues

| Clause ID | Category      | Risk Level     | Identified Vulnerability                                         |
|-----------|---------------|----------------|------------------------------------------------------------------|
| CLAUSE_17 | Payment Terms | <b>WARNING</b> | High late payment penalty or daily interest/double rent charges. |

## Missing Protections

| Missing Protection                        | Risk & Importance                                                                                                                                                                                                                                          | Suggested Wording / Remedy                                                                                                                                                                                       |
|-------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Governing Law Clause</b>               | The agreement is missing a Governing Law clause. Without specifying the applicable state and local laws, any dispute will face legal ambiguity regarding which tenancy and rent control statutes apply, causing delays and unpredictable judicial rulings. | Add: 'This agreement shall be governed by and construed in accordance with the laws of India and the state in which the property is located.'                                                                    |
| <b>Force Majeure Clause</b>               | No Force Majeure protection is present. If a lockdown, natural disaster, fire, or government restriction prevents you from occupying or operating from the premises, you remain legally obligated to pay 100% of the rent and late fees.                   | Add: 'Neither party shall be liable for failure to perform if prevented by acts of God, pandemics, lockdowns, or disasters. During such periods, rent obligations shall be suspended or proportionally reduced.' |
| <b>Dispute Resolution Clause</b>          | There is no structured dispute resolution path. If a conflict arises over maintenance, deposit, or rent, either party can immediately drag the other into a lengthy, expensive court battle without trying mediation first.                                | Add: 'In case of any dispute, the parties shall first attempt to resolve the issue amicably through good-faith negotiations or mediation within 30 days.'                                                        |
| <b>Renewal &amp; Escalation Cap</b>       | There is no renewal escalation cap. At the end of the tenancy term, the landlord has complete leverage to demand an exorbitant rent hike (e.g. 30%) or force a sudden, expensive eviction.                                                                 | Add: 'The Tenant shall have the option to renew the lease with an annual rent escalation capped at a maximum of 5% to 8%.'                                                                                       |
| <b>Security Deposit Refund Protection</b> | No refund timeline or rules cover the security deposit. The landlord could withhold your deposit indefinitely after you vacate, using arbitrary justifications without returning your funds.                                                               | Add: 'The Landlord shall refund the security deposit in full within 30 days of the Tenant handing over possession, subject only to documented repairs beyond wear and tear.'                                     |
| <b>Tenant Indemnity Protection</b>        | No clause protects the tenant from claims arising from building structural defects, landlord's negligence, or third-party injuries on the property.                                                                                                        | Add: 'The Landlord shall indemnify and hold the Tenant harmless against any claims, losses, or damages arising from structural failures, landlord's gross negligence, or title disputes.'                        |
| <b>Limitation of Liability</b>            | There is no limitation on the tenant's liability, leaving the tenant exposed to unlimited financial damages for accidental fires or structural accidents that occur on the property.                                                                       | Add: 'The Tenant's total liability for damage to the premises shall be capped at a maximum equivalent to 6 months' rent, excluding cases of gross negligence or willful misconduct.'                             |

# Detailed Clause-by-Clause Risk Analysis

The following is an explainable granular analysis of key clauses in the contract, detailing matched evidence, specific offending sentences, potential legal consequences, and suggested dynamic rewrites.

## CLAUSE 17 — Payment Terms [RISK: WARNING]

**Original Clause Text:**

That in case, where the Premises are not vacated by the Tenant, at the termination of the Rent period, the Tenant will pay damages calculated at two times the rent for any period of occupation commencing from the expiry of the Rent period. The payment of damages as aforesaid will not preclude the Owner from initiating legal proceedings against the Tenant for recovering possession of premises or for any other purpose.

**Vulnerability:** High late payment penalty or daily interest/double rent charges.

**Matched Evidence:** 'double rent penalty' (Risk Weight: +8) | **Confidence:** 50%

**Flagged Sentence:** "That in case, where the Premises are not vacated by the Tenant, at the termination of the Rent period, the Tenant will pay damages calculated at two times the rent for any period of occupation commencing from the expiry of the Rent period."

**What this means:** The interest rate or penalty for late payments / holding over is excessively high or charged on a double basis. Under Indian Contract Act, Section 74, unreasonable penalties are considered penal in nature and are generally unenforceable.

**Consequences:** Even a short delay of a few days or holding over could lead to a massive accumulated penalty.

**AI Dynamic Rewrite (Safer Wording):**

Rent shall be paid monthly on or before the 5th day of each calendar month. A grace period of 5 days shall be allowed. In the event of late payment, the Tenant shall pay interest at a reasonable rate not exceeding 10% per annum on the overdue amount.

**Relevant Indian Law:** Indian Contract Act, 1872 — Section 73 (Reasonable Compensation), Model Tenancy Act, 2021 — Section 9

**How to Negotiate:** Request a grace period of 5-10 days and cap the late payment interest at 12% per annum.

**Financial Exposure:** Accumulating daily penalties.



# ClauseGuard AI — Negotiation Checklist

Before signing this contract, ensure you have addressed the following items with the counterpart. Use the AI Suggested Rewrites from the previous pages as your template guide:

- ☐ **Security Deposit Capping:** Request reduction of security deposit to 2-3 months rent.
- ☐ **Disclaim Wear and Tear:** Ensure a clause explicitly declares that security deposit is returned in full, excluding normal wear & tear.
- ☐ **Mutual notice periods:** Standardize notice periods so both parties have equal notice periods (minimum 30 days) to terminate.
- ☐ **Cure periods:** Add a cure period (minimum 15 days) to rectify defaults before termination can be initiated.
- ☐ **Limit entry rights:** Require at least 24 hours advance written notice for any inspection or entry visits.
- ☐ **Rent escalation limits:** Cap annual rent increases at a maximum of 5% to 8% per annum.
- ☐ **Incorporate Force Majeure:** Ensure a modern act of god/lockdown clause is added to suspend rent obligations.
- ☐ **Document conditions:** Record property inventory and physical conditions with dated photos prior to taking possession.

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